

HOW TO MAKE YOUR LIFE LESS TAXING

Put More Money in Your Pocket and Less in Uncle Sam's

YOU CAN RUN from many financial subjects, but you can't hide from taxes. Still, if you're like most people, you find the tax rules complex, the forms confusing, and the Internal Revenue Service (IRS) intimidating. But whether you're a highly paid professional or a hardly paid grad student, this is one area where knowing the rules can save you money.

My goal in this chapter is to help you get over your fear of filing. It describes exactly what kind of taxes you pay, explains how to figure out which tax bracket you're in, offers tips on filing your taxes online and off, and, most important, outlines specific strategies that can save you money. Although exploring the intricacies of the tax code isn't anyone's idea of a good time (except for an accountant I once dated), taking the time to understand the basics could save you hundreds of dollars each year. Whether you do your own taxes—something I recommend you try at least once—or you hire someone to do them, knowing the rules ensures that you won't miss out on any money-saving breaks.

One quick note: Although this chapter will give you a good overview of what you need to know about taxes, you should keep in mind that tax law is constantly changing. And while I've made every effort to provide accurate,